

3.3 Unit 3 ECON3 Economics: Business Economics and the Distribution of Income

Unit 3 is synoptic.

It is assumed that the knowledge and skills candidates have acquired in other units will be used to consider concepts, theories and issues introduced in this Unit. Candidates should be able to recognise both the value and limitations of economic models as a means of explaining and evaluating the conduct and performance of firms in the real world. They should be able to evaluate economic models in written, numerical and graphical forms.

This Unit builds on the knowledge and skills candidates have developed in Unit 1. It will require candidates to use and evaluate more complex microeconomic models; for example, perfect competition, monopoly and oligopoly, and to develop further their critical approach to such economic models and methods of enquiry. Candidates will need to demonstrate a realistic understanding of the decisions made by firms and how their behaviour can be affected by the structure and characteristics of the industry. In this Unit, candidates are required to develop a more formal understanding of economic efficiency and the arguments for and against government intervention in markets than was required at AS level.

The Module also requires candidates to understand the operations of the labour market and the factors which influence relative wage rates, poverty and the distribution of income and wealth.

Candidates should appreciate the ways in which developments in United Kingdom markets and government microeconomic policy can be related to the global and European Union (EU) contexts.

Examples of issues which could be examined in the **global context** are the impact of globalisation on markets and firms within the UK economy, for example through the increased economic power of multinational (transnational) companies and through a greater international mobility of capital and labour. Environmental issues should also be seen from a global perspective.

Examples of issues in the **EU context** are increased competitiveness of UK markets resulting from firms' access to the wider EU market, and the potential exposure of UK firms to EU competition policy as well as to UK national competition policy. Candidates should also consider the impact on UK product and labour markets of EU common economic policies (e.g. the Common Agricultural Policy), and of the free movement of labour within the EU.